

Research Report: Fundamentals of Stock Markets and Regulatory Frameworks

Prepared by: Belloula Mohamed Iyed.

Domain: Stock Market & Trading Basics

Organization: CodeAlpha

Date: June 2026

1. Introduction to the Stock Market

The stock market is a complex ecosystem of exchanges and markets where shares of publicly held companies are issued, bought, and sold. It serves as one of the most vital components of a free-market economy, providing companies with access to capital in exchange for giving investors a piece of ownership in the company.

At its core, the stock market functions similarly to a traditional marketplace, but instead of physical goods, financial instruments like equities, derivatives, bonds, and mutual funds are traded. Historically, these transactions took place on physical trading floors (outcry markets), but modern stock markets operate almost entirely electronically through highly secure digital networks.

The primary economic purpose of the stock market is to allocate capital efficiently. It channels savings from individual and institutional investors into productive corporate entities, fostering innovation, job creation, and overall economic expansion. For investors, the stock market offers a vehicle to grow wealth over time, outpace inflation, and participate in the financial success of leading corporations.

2. Primary vs. Secondary Market

The financial market is divided into two major segments based on how securities are issued and traded: the **Primary Market** and the **Secondary Market**. Understanding the distinction between these two is fundamental to grasping how corporate finance operates.

The Primary Market

The primary market is the place where securities are created and sold for the very first time. In this market, companies raise fresh capital directly from investors. This is typically achieved through an **Initial Public Offering (IPO)**, where a private company transitions to a public corporation by offering its shares to the general public.

When an investor buys shares in the primary market, the money flows directly into the company's bank account, which the corporation then uses to fund expansion, research and development, or debt repayment. Investors receive brand-new share certificates directly from the issuing company.

The Secondary Market

Once shares have been issued in the primary market, they enter the secondary market. This is what most people colloquially refer to as "the stock market." In the secondary market, investors trade existing securities among themselves. Examples of major secondary markets include the National Stock Exchange (NSE) and Bombay Stock Exchange (BSE) in India, or the New York Stock Exchange (NYSE) and NASDAQ in the United States.

In this market, the issuing company is not involved in the transaction, and it does not receive any capital from the trades. For example, if Investor A sells shares of Apple to Investor B, the money moves from Investor B to Investor A. The secondary market is crucial because it provides **liquidity**—it allows investors to quickly convert their shares back into cash at prevailing market prices.

Key Differences at a Glance

Feature	Primary Market	Secondary Market
Type of Security	New securities are issued for the first time.	Existing, previously issued securities are traded.
Capital Flow	Money flows directly from the investor to the company.	Money flows exclusively between investors.
Intermediaries	Underwriters, investment banks, and book runners.	Stockbrokers and centralized stock exchanges.
Price Determination	Fixed by the management and underwriters before the launch.	Fluctuates continuously based on supply and demand.
Financing Purpose	Directly helps companies raise capital for expansion.	Provides liquidity and exit options for current investors.

3. The Role of SEBI in India

Because the stock market deals with trillions of dollars of public wealth, systemic regulation is mandatory to prevent scams, manipulation, and market failures. In India, this responsibility falls upon the **Securities and Exchange Board of India (SEBI)**.

Overview and Establishment

SEBI was initially established as a non-statutory body in 1988, but it was given autonomous, statutory powers on January 30, 1992, through the SEBI Act. Headquartered in Mumbai, SEBI acts as the supreme watchdog of the Indian capital markets, overseeing stock exchanges, brokers, mutual fund houses, and listed companies.

Core Objectives of SEBI

SEBI operates with a triple mandate designed to balance market growth with public safety:

1. **Protection of Investors:** Ensuring that individual investors are not cheated by false corporate claims, insider trading, or market manipulation.
2. **Regulation of the Market:** Formulating strict rules, guidelines, and codes of conduct for all financial intermediaries (like brokers and merchant bankers) to keep transactions transparent.
3. **Development of the Market:** Promoting the adoption of modern infrastructure, such as electronic trading, dematerialization of shares (Demat accounts), and investor education programs.

Key Functions and Powers

To achieve its objectives, SEBI exercises three critical types of functional powers:

- **Quasi-Legislative Functions:** SEBI has the authority to draft rules and regulations for the financial markets. For instance, it mandates strict disclosure requirements for companies launching IPOs so investors have all the facts.
- **Quasi-Judicial Functions:** SEBI acts as a court for financial crimes. It can conduct hearings, pass judgements, and penalize corporations, brokers, or traders who violate insider trading laws or manipulate stock prices.
- **Quasi-Executive Functions:** SEBI has the power to inspect the financial books of companies and stock exchanges. If it suspects malpractice, it can launch investigations, freeze bank accounts, and ban fraudulent entities from trading in the market.

Through these measures, SEBI has successfully transformed the Indian financial ecosystem into one of the most transparent, technologically advanced, and secure investment environments in the world.

4. Conclusion

The stock market is a powerful economic engine built on the dual structures of the primary and secondary markets. While the primary market allows corporations to secure the

capital required for groundbreaking innovations, the secondary market ensures individual investors have the liquidity and freedom to trade those stakes at will.

Guarding this entire infrastructure is regulatory bodies like SEBI, whose rigorous oversight builds the public trust necessary for capital markets to thrive. A comprehensive understanding of these basics forms the foundational bedrock for any aspiring trader, investor, or financial analyst looking to navigate the global financial landscape.

References

1. Mishkin, F. S., & Eakins, S. G. (2018). *Financial Markets and Institutions*. Pearson.
2. Securities and Exchange Board of India (SEBI). Official Portal: Regulatory Framework and Act.
3. NSE India. *Introduction to Primary and Secondary Capital Markets*.